

IND AS 116 — LEASES

Lessee Accounting Decision Tree & Journal Entries

1. DEFINITION OF A LEASE

A contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration. Control = right to obtain substantially all economic benefits + right to direct the use.

2. LESSEE INITIAL MEASUREMENT

Lease Liability = PV of unpaid lease payments (discount rate = interest rate implicit in lease or lessee's incremental borrowing rate).

ROU Asset = Liability + initial direct costs + prepaid payments – incentives + dismantling costs.

3. JOURNAL ENTRIES (LESSEE)

At commencement:

Dr Right-of-use Asset	
	Cr Lease Liability

Subsequent measurement:

Dr Finance Cost	Cr Lease Liability
Dr Depreciation	Cr Accum. Dep. – ROU
Dr Lease Liability	Cr Cash (payment)

4. EXEMPTIONS

- Short-term leases (≤ 12 months) and low-value assets may be expensed on a straight-line basis.
- Portfolio approach allowed if difference is not material.

5. RED FLAGS

- “Service contracts” that actually contain a lease
- Unrealistic incremental borrowing rates
- Lease term ignoring reasonably certain extension options
- Sale-and-leaseback structured to accelerate gains
- In-substance fixed variable payments omitted from liability

Source: Official Ind AS (2025-26) · Prepared by Dr. Debasis Pahi